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NCBA Company Update and Earnings Review

NCBA's 1H20 PAT fell 38.3% y/y to KES 4.3B. The drop was driven by a 180.9% y/y rise in loan loss provisions. We recommend a BUY on NCBA with a target price of KES 30.29 offering a potential upside of 29.4% on the current price of KES 23.40.

DATE:	28th Aug 2020
Target Price:	KES 30.29
Current Price:	KES 23.40
Upside:	29.4%
52 Week Low:	KES 20.00
52 Week High:	KES 41.00

Growth drivers

- Diversity across various business segments in the industry
- Group to retain front in digital lending
- Cost synergies of a merged entity

Risk factors

- Asset quality to remain worrisome

Conglomerate of various segments to solidify presence in the East African market

The Group's 1H20 loan book grew 4.0% y/y to KES 248.3B. Operating in a customer base of over 50M customers, to solidify its presence while having a competitive edge among its peers, we anticipate that the group's operations will be supported by its operations across various market segments. We anticipate the scaling up of retail banking through introduction of tailor-made solutions to the retail client base. This is expected to be further enhanced by expansion of the branch network. Expansion in the SME sector is expected to be buoyed by market leadership in asset financing with 80% of vehicles under asset financing being commercial vehicles.

We anticipate that the Tier 1 bank will attract large corporates as the Group tailor makes solutions to attract corporates while attracting high net worth customers in personal banking.

M-shwari is expected to remain a key driver of revenues in digital banking, with the group expected to revolutionize its operations in the process of digital transformation while offering alternative channels for transactions by their customers. Before the merger, CBA Bank stood as a market leader in digital channels with the new entity expected to tap into this to gain a leading front in digital transformation among its peers.

Going forward, we see strength in asset book growth premised on the Groups conglomerate of various business segments.

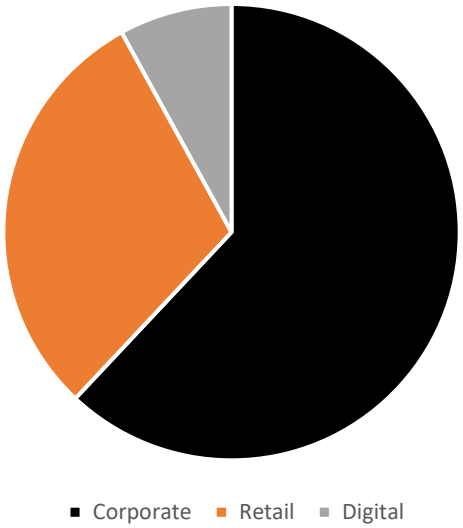
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Group to retain front in digital banking

The new entity is expected to maintain market leadership in digital banking following the prevalence of mobile lending through M-Shwari and Fuliza. Digital transformation in the industry has seen continued demand of mobile loans with M-Shwari enjoying a customer base of over 37million active M-Pesa users. Loans on digital banking contribute over 8% of the loan book (about KES 22B). This is expected to continue to provide support to non-funded income growth, that has recently come under pressure as the Group effected free cash transfers in the wake of the pandemic. Key risks in digital lending remain continuing regulatory changes that could result in lower fees charged on mobile lending.

Chat 1: Loan Distribution (1Q20)



Source: Company fillings, AIB-AXYS Research

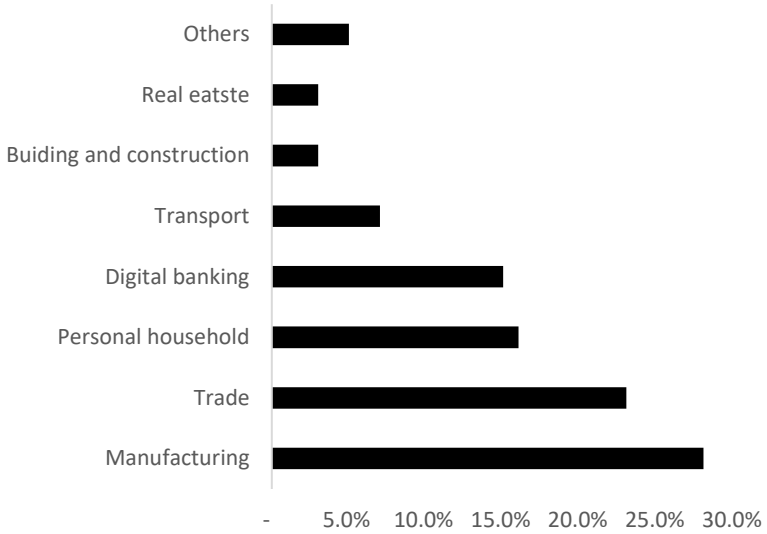
Cost synergies of a merged entity

The Group's 1H20 operating expenses remained flat (-1.0% y/y to KES 9.4B) highlighting improved operational efficiencies of a merged entity as opposed to the stand-alone banks. We anticipate that going forward, we may see this change due to restructuring costs. While we have seen closure of some duplicate branches, we anticipate that to solidify its presence, we may see additional costs of setting up new branches. The prevailing pandemic may however delay the realization of expected revenue and cost saving synergies expected from a merged entity, given the slowdown in the economy.

Asset quality may remain in the red

We remain worried of the rising NPL ratio for the group which may be further exacerbated by the prevailing pandemic. In 1H20, NPLs rose 27.6% y/y with the Gross NPL ratio at 15.6% above its peers. This saw a 180.9% y/y surge in loan loss provisions eating into the bottom line. With the NPL contribution largely from manufacturing and trade sectors, we may see the asset book quality remain worrisome given that these sectors have been highly affected by the prevailing pandemic. While gradual recovery is expected, the exposure to SMEs in these sectors is expected to raise the risk profile as some businesses may take longer time to recover.

Chat 2: NPL Distribution by Sectors as at 1Q20



Source: Company fillings, AIB-AXYS Research

Financial Statements

Income Statement	1H19 KES M	1H20 KES M	chg y/y
Interest Income	19,473	20,681	6.2%
Interest Expense	8,971	9,467	5.5%
Net Interest Income	10,502	11,214	6.8%
Non Interest Income	8,858	10,075	13.7%
Total Operating Income	19,360	21,289	10.0%
Total Operating Expenses	9,455	9,365	-1.0%
Loan Loss Provision Expense	2,714	7,626	180.9%
Profit Before Tax	5,933	3,907	-34.2%
Tax	2,468	1,275	-48.3%
Profit After Tax	**4,268**	**2,632**	**-38.3%**
EPS (KES)	11.03	1.76	-84.0%
Balance Sheet			
Total Shareholders' Equity	69,471	70,056	0.8%
Customer Deposits	357,989	390,489	9.1%
Total Liabilities	406,628	443,728	9.1%
Total Equity and Liabilities	476,099	514,030	8.0%
Government and Other Securities	136,707	170,259	24.5%
Net loans and advances	238,777	248,306	4.0%
Total Assets	476,099	514,030	8.0%
Key Ratios			
Gross NPL (KES M)	30,314	38,678	27.6%
Gross NPL Ratio	12.7%	15.6%	
Cost of Risk	1.1%	3.1%	
Loan to Deposits	66.7%	63.6%	
Yield on Interest Earning Assets	10.4%	9.9%	
Cost of Funds	5.0%	4.8%	
NIM	5.4%	5.0%	
Non Funded/Total Income	45.8%	47.3%	
Cost to Income Ratio	48.8%	44.0%	
ROE	12.3%	7.5%	
ROA	1.8%	1.0%	
P/E (x)		13.3	
P/B (x)		0.5	

Source: Company fillings, AIB-AXYS Research

Financial Statements

Income Statement (KES M)	2019	2020	2021	2022	2023
Interest income	33,495	36,039	41,893	48,768	58,306
Interest expense	20,986	23,097	27,402	32,266	38,819
Net interest income	54,481	59,136	69,296	81,034	97,125
Net interest income y/y		10%	19%	18%	20%
Non-funded income	10,852	12,295	13,258	14,594	16,154
Non-funded income y/y		13%	8%	10%	11%
Total operating income	31,838	35,392	40,660	46,860	54,973
Total operating income y/y		11%	15%	15%	17%
Provision for impairment	5,635	11,150	12,829	13,487	16,185
Loan loss provision y/y		97.9%	15.1%	5.1%	20.0%
Operating expenses	15,584	17,501	19,684	22,171	25,272
OpEx y/y		12%	12%	13%	14%
Profit before tax	10,619	6,741	8,147	11,201	13,516
PBT y/y		-37%	21%	37%	21%
Taxation	3,472	1,859	2,487	3,653	4,508
Effective tax rate		27%	30%	32%	33%
Profit After tax	7,291	5,026	5,804	7,692	9,152
PAT y/y		-31%	15%	33%	19%

Balance sheet					
Cash & balance with CBK	37,198	42,710	47,669	55,160	65,988
Cash & balance with CBK y/y		15%	12%	16%	20%
Government securities	137,039	169,450	182,458	215,014	254,904
Government securities y/y		23.7%	7.7%	17.8%	18.6%
Loans and advances to customers	248,885	278,752	320,727	385,351	462,421
Loans and advances y/y		12%	15%	20%	20%
Total assets	494,717	557,086	628,243	733,798	877,908
Total assets y/y		13%	13%	17%	20%
Customer deposits	378,237	423,625	478,697	550,501	660,602
Customer deposits y/y		12%	13%	15%	20%
Borrowings	22,081	24,731	25,096	31,045	36,817
Total liabilities	427,458	487,047	547,458	643,074	775,786
Total Liabilities y/y		14%	12%	17%	21%
Shareholders' funds	67,260	70,039	80,336	90,275	101,673

Source: Company fillings, AIB-AXYS Research



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